

Nu Holdings (NU)

Quartr-Enhanced Investment Analysis

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Market Cap: ~\$66 billion | Ticker: NU (NYSE)

GICS: Diversified Banks

1. Business History

Nu Holdings' culture is inseparable from the biography of its founder. In mid-2012, David Velez -- a Colombian-born, Stanford-educated venture capitalist -- walked into a branch of one of Brazil's largest banks to open a personal account. What followed was a four-month ordeal of bulletproof doors, armed guards, endless queues, call center holds, and repeated document requests, all culminating in an account that charged hundreds of reais per year in fees. As Velez wrote in Nu's F-1 registration statement, "As I tried to reconcile this experience with the immense profitability of Brazilian banks and the low penetration of banking in this country, I realized that this was possibly the entrepreneurship challenge I had been looking for since I was a child working in my father's button company in Costa Rica."

Velez's path to that moment was unconventional for a Latin American fintech founder. Born in Medellin in 1981, his family fled cartel violence when he was nine, relocating to Costa Rica. He earned a BS in Management Science & Engineering from Stanford (2005) and later an MBA from Stanford GSB (2012). Between degrees, he worked at Morgan Stanley and Goldman Sachs in investment banking, then pivoted to growth equity at General Atlantic before joining Sequoia Capital as a partner. Sequoia had recruited Velez specifically to evaluate opening a Latin American office; when Sequoia abandoned that effort in 2013, Velez saw firsthand what the region lacked -- and decided to build it himself.

In May 2013, Velez co-founded Nubank in Sao Paulo with two partners whose skills directly addressed what a pure credit-card challenger would need. Cristina Junqueira, a Brazilian who had been a product

manager at Itau Unibanco (one of the very incumbents they aimed to disrupt), brought deep knowledge of the domestic banking product stack and regulatory landscape. Edward Wible, an American software engineer, became CTO and architected the technology platform. The trio's first and only product: a no-annual-fee credit card managed entirely through a mobile app. The first Nubank transaction occurred on April 1, 2014. By September 2014, Sequoia Capital led a \$14.3 million seed round alongside Kaszek Ventures.

From Mono-Product to Platform: The Critical Inflection Points

The credit card was a deliberate wedge. Brazil's five largest banks controlled 70-85% of all loans, deposits, and banking revenue, extracting enormous fees from consumers who had no alternatives. Nubank's insight was that a single, beautifully designed, zero-fee product could generate organic virality -- and the data to underwrite further products. By the IPO in 2021, approximately 80-90% of customers had been acquired organically through word-of-mouth, at a customer acquisition cost of roughly \$5 per customer.

The first major platform expansion came in 2017 with the launch of NuConta (later rebranded NuAccount), a digital payment and savings account offering competitive interest rates. NuConta was the critical inflection point: it transformed Nubank from a credit card issuer into a deposit-taking institution, unlocking a low-cost funding base and the ability to cross-sell lending products. Within 18 months, NuConta attracted 5 million users. Personal loans followed in early 2019, debit card functionality launched in late 2018, and by 2020 the company had begun layering on investment products, insurance brokerage, and SME banking.

Geographic expansion began in 2019 with entries into Mexico and Colombia -- markets that shared Brazil's structural conditions of concentrated banking, high fees, and low financial inclusion. Both started with the same wedge strategy: a no-fee credit card.

Acquisitions as Architecture, Not Empire-Building

Nubank's acquisition history reveals a company that buys capabilities rather than customer bases. In early 2020, it acquired Plataformatec, a Brazilian software consultancy, followed in July 2020 by Cognitect, the US-based firm behind the Clojure programming language and Datomic database. These were not conventional fintech acquisitions -- they were investments in the programming language ecosystem that underpins Nubank's entire stack. By 2020, Nubank had 600 Clojure developers running 2.5 million lines of code across 500 microservices on over 2,000 Datomic servers.

Acquiring Cognitect was the equivalent of a manufacturer buying its tooling supplier.

The September 2020 acquisition of Easynvest, a digital brokerage with R\$26 billion in assets under custody and 1.5 million users, was the company's first product-driven acquisition, giving Nubank a ready-made investment platform (rebranded NuInvest). In August 2021, the purchase of Spin Pay, an instant-payments platform for e-commerce, signaled ambitions beyond pure banking into commerce enablement.

The IPO and Buffett's Endorsement

In June 2021, Berkshire Hathaway invested \$500 million as an extension of Nubank's Series G round at a \$30 billion valuation -- a striking endorsement from an investor historically skeptical of technology companies. By then the company had roughly 40 million customers. Six months later, in December 2021, Nu Holdings listed on the NYSE at approximately \$9 per share, achieving a \$41 billion valuation in one of the largest fintech IPOs in history. The founders offered one Brazilian Depository Receipt to each of millions of Brazilian customers through the NuSocios program, turning customers into

shareholders.

The Cultural Constants

Across every phase -- from single credit card to a platform serving 131 million customers across three countries with credit, debit, savings, lending, insurance, investments, and commerce products -- three elements of Nu's cultural DNA have remained unchanged. First, radical customer obsession: the company maintains an NPS above 90 and has consistently built products "walking backwards from the customer." Second, technology ownership: the decision to build a proprietary core banking platform from scratch on a cloud-native, microservices architecture has compounded into a structural cost advantage -- Nu estimates its cost to serve per active customer is approximately 85% lower than Brazilian incumbents. Third, smart efficiency as ideology: visible in its \$5 CAC, its estimated LTV/CAC ratio exceeding 30x, and its progression from operating losses through 2021 to \$2.87 billion in net income by FY2025.

2. Management & Incentives

Key Leadership

David Velez Osorno -- Founder, Chairman & CEO. Colombian-born, Stanford MBA, former partner at Sequoia Capital where he focused on Latin American investments. Founded Nubank in 2013 at age 31 with no banking experience but deep conviction that Latin America's oligopolistic banking sector was ripe for disruption. He has led the company from zero to 131 million customers and \$2.87 billion in net income (FY2025). In May 2025, following COO Youssef Lahrech's departure, Velez absorbed the COO duties directly, concentrating more operational authority in himself -- a development worth monitoring.

Guilherme Lago -- CFO (since 2020). Former Goldman Sachs and JP Morgan investment banker. Lago has been the consistent voice of financial discipline on earnings calls, driving the efficiency ratio from ~90% at IPO to sub-20% by Q4 2025. He architects the company's capital and disclosure strategy, including the new Managerial P&L framework introduced in Q4 2025. Highly credible with the sell side.

Cristina Junqueira -- Co-founder & Chief Growth Officer. Relocated to Miami to lead the U.S. expansion following the conditional OCC bank charter approval in January 2026. Her redeployment to the highest-risk new initiative signals management's seriousness about the U.S. market.

Vitor Olivier -- CTO (since December 2022). Also serves as Head of Global Platforms. Leads the AI-first engineering strategy including the proprietary nuFormer credit-risk model.

Youssef Lahrech -- former President & COO (2020-May 2025). Ex-Capital One (19 years), was instrumental in building Nu's credit underwriting capabilities. His departure after five years is a notable loss, though Velez absorbing his duties suggests no immediate successor was ready.

Insider Ownership & Skin in the Game

Velez's alignment is exceptional. Through his holding vehicle Rua California Ltd., he beneficially owns approximately 88.6% of outstanding Class B shares and controls roughly 75.2% of total voting power via the dual-class structure (Class B shares carry 20 votes per share vs. 1 for Class A). His economic stake is approximately 19-20% of total shares outstanding, valued at roughly \$12-13 billion at a \$66 billion market cap. He sold 33 million Class A shares (approximately 3.5% of his total holdings) in August 2025, citing personal asset planning -- modest relative to his total position. Approximately 91%

of all active employees held share-based incentive awards as of December 2024, creating broad organizational alignment.

Compensation Structure

Nu's compensation philosophy is distinctive and investor-friendly: employees receive fixed monthly cash salaries, but 100% of variable compensation is paid in equity. The net burn rate from share-based compensation has been kept below 100 basis points annually. In November 2022, Velez voluntarily terminated his Contingent Share Award (CSA) -- a performance-based grant worth an estimated \$423 million -- during the post-IPO stock rout, signaling alignment with shareholders during a difficult period. He has declined additional variable compensation in subsequent years, relying on his equity stake for alignment.

Capital Allocation

Management has prioritized reinvestment in growth over shareholder returns. Key deployments include: geographic expansion into Mexico (banking license obtained Q1 2025) and Colombia; the U.S. market entry with the OCC charter; heavy investment in AI and technology; and SME lending expansion. The company initiated a modest \$200 million share repurchase program, though this is small relative to market cap. No dividends have been paid. Capital allocation has been rational -- management has not chased expensive acquisitions, preferring organic build.

Board Composition

The board comprises eight members, seven non-executive, with a majority identified as independent. Anita Sands serves as Lead Independent Director. Key members include Douglas Leone (Sequoia Capital), Jacqueline Reses (ex-Square/Yahoo), David Marcus (ex-Meta/PayPal), Luis Alberto Moreno (former IDB president), Rogerio Calderon (ex-AB InBev CFO), and Thuan Pham (ex-Uber CTO). However, Nu avails itself of the foreign private issuer exemption from NYSE governance rules -- a governance flag. The dual-class structure means the board ultimately answers to Velez.

Promises vs. Delivery

Management's track record is strong: customer growth from 48 million at IPO to 131 million; net losses to \$2.87 billion net income in three years; efficiency ratio from ~90% to sub-20%; Mexico banking license delivered; SBC net burn rate kept below 100bps as committed; and Velez CSA termination executed as promised. The one area requiring monitoring is the U.S. expansion and the 2026 "investment year" priorities.

3. Competitive Landscape

Industry Structure: A Concentrated Oligopoly Under Siege

Brazilian banking has long been dominated by five institutions -- Itau Unibanco, Banco do Brasil, Bradesco, Caixa Economica Federal, and Santander Brasil -- which collectively control approximately 65% of system assets. This concentration, combined with high interest rate spreads, created a structurally profitable oligopoly that historically extracted significant rents from consumers through high fees, poor service, and limited product innovation. Into this structure, Nu has inserted itself as the largest private financial institution in Brazil by customer count (113 million), reaching 62% of the adult population -- yet capturing only 5% of the gross profit pool. That gap between reach and revenue extraction defines the competitive opportunity and the competitive challenge simultaneously.

Traditional Incumbents: Still Dominant in Profit, Losing Ground in Relationships

Itau Unibanco remains the most formidable incumbent, posting BRL 22.3 billion in annual net income with a 23% ROE, supported by a diversified revenue base spanning corporate banking, wealth management, insurance, and capital markets. Bradesco and Banco do Brasil have responded to digital threats by investing heavily in their own apps and digital channels. However, incumbent customer acquisition costs tell the story of structural disadvantage: Bradesco spends an estimated \$91 per net new customer and Itau \$115, compared to Nu's \$19. The incumbents' branch-heavy cost structures translate to estimated per-customer servicing costs of \$15-25 per month, versus Nu's \$0.90.

Digital Challengers: Credible but Smaller

Inter & Co (INTR), the closest publicly traded digital peer, ended 2025 with 43 million total customers (25 million active) and improving NIMs at 9.6%. C6 Bank, backed by JPMorgan Chase, posted BRL 2.3 billion in annual profit with 25 million customers. PicPay, with 66 million registered users, is pursuing a Nasdaq IPO in 2026. MercadoLibre's Mercado Pago represents a differentiated threat: 72 million monthly active users, an \$11 billion credit portfolio growing 83% year-over-year, and the unique advantage of embedded commerce data for credit underwriting. Together, Nubank and Mercado Pago accounted for approximately 36% of Brazil's credit card portfolio growth over the past year.

Sources of Competitive Advantage

Nu's moat rests on four pillars. First, cost advantage: the 19.9% efficiency ratio and \$0.90 cost-to-serve create an operating leverage gap that incumbents cannot close without dismantling their physical infrastructure. Second, data and AI-driven underwriting: Nu's proprietary nuFormer AI models, trained on 131 million customer relationships, enable credit decisioning that improves with scale.

Third, brand and trust: Nu consistently ranks as Brazil's most loved financial brand, with over 80% of new customers arriving via referral or organic channels. Fourth, platform breadth: the rapid expansion into personal loans, secured lending, investments, insurance, mobile telecom (NuCel), and commerce partnerships creates cross-selling density that raises switching costs over time.

Durability and Vulnerabilities

These advantages are durable but not impregnable. The high-income segment remains a competitive battleground where incumbents retain strong payroll relationships. Regulatory risk is real: Mexico's proposed interchange fee cap could compromise the unit economics of new customer acquisition. In Brazil, open banking regulation cuts both ways -- it enables Nu's one-click deposit switching but could equally lower barriers for future entrants.

The Monetization Gap

The 30% primary banking relationship share versus 5% gross profit share encapsulates both the bull and bear case. Nu's ARPAC of \$15 per month against an incumbent average of \$43.30 reflects deliberate underpricing, product immaturity in certain categories, and the income-mix skew of Nu's customer base toward mass market. Mature cohorts are trending toward \$27 ARPAC. However, the path from 5% to even 15% gross profit share requires Nu to succeed in credit-intensive, capital-consuming products where incumbents have decades of institutional knowledge.

4. Financial Characteristics

Revenue Model and Geographic Mix

Nu generates revenue through three principal streams: net interest income on its \$32.7 billion credit portfolio (the dominant contributor), interchange and fee income from its 131 million customers, and a

growing financial services layer encompassing insurance, investments, and marketplace commissions. Brazil remains overwhelmingly dominant, with 113 million of Nu's 131 million customers. Mexico (14 million customers) and Colombia (4 million) are scaling rapidly but still early-stage. Revenue grew 41.7% year-over-year to \$16.32 billion in FY2025, with Q4 accelerating to 45% YoY growth.

Margin Structure and Trends

Gross margins are structurally high but compressing modestly, from 45.6% in FY2024 to 40.6% in FY2025, reflecting credit portfolio seasoning, geographic mix shift, and product diversification into secured lending. Net interest margins remain exceptionally elevated at 17.3-17.7% through 2025. Risk-adjusted NIM fluctuated from a seasonal low of 8.2% in Q1 to a normalized 10.5-10.8% by Q4. Net income margins expanded from 17.1% (FY2024) to 17.6% (FY2025), reaching approximately 18.3% in Q4.

Returns on Capital

Nu's ROE trajectory is among the most distinctive features of its financial profile. The company moved from breakeven in 2022 to a 33% ROE in Q4 2025 (35% adjusted), a pace of improvement with few precedents in banking. For context, Itau Unibanco delivered a 23.4% ROE in FY2025, while Bradesco posted 15.2%. Nu's ROE advantage is structural: its asset-light, branchless model generates higher returns per unit of equity because customer acquisition and servicing costs are a fraction of those borne by incumbents.

Cash Conversion and Operating Cash Flow

Operating cash flow reached \$2.40 billion in FY2024 against \$1.97 billion in net income, representing healthy cash conversion above 100%. The capital-light nature of the business means minimal maintenance capex is required; technology investment is expensed through the income statement rather than capitalized in physical infrastructure.

Balance Sheet Strength

Nu operates a deposit-funded model, with \$41.9 billion in deposits supporting a \$32.7 billion credit portfolio, translating to a conservative loan-to-deposit ratio of approximately 46%. Deposits grew 29% YoY in Q4, comfortably supporting portfolio growth. The cost of funding at 89-91% of interbank rates is competitive with the largest incumbents.

Operating Leverage

The efficiency ratio at 19.9% in Q4 2025 means Nu operates at roughly half the cost intensity of Itau (38.8%) and far below Bradesco (~42%). Cost to serve per active customer was \$0.90 per month, versus an estimated \$12-20 per month for traditional Brazilian banks.

Unit Economics

Monthly ARPAC rose from \$11.2 in Q1 to \$15.0 in Q4 2025, a 34% expansion within a single year. With a cost to serve of \$0.90 per month, the implied monthly gross contribution per customer is approximately \$14, creating powerful economics at scale. The combination of rising ARPAC, stable-to-declining cost to serve, and continued customer additions creates a compounding unit economics flywheel that is difficult for branch-dependent incumbents to replicate.

5. Red Flags & Bear Case

Accounting Quality: Follow the Adjustments

Nu's gross margin dropped 500 basis points in a single year -- from 45.6% in FY2024 to 40.6% in FY2025. Management attributes this to rising funding costs and the drag of loss-making Mexican deposit-gathering, but the direction matters more than the explanation: this is a credit-led business where cost of funding is rising while the company aggressively grows its loan book. More troubling is the pattern of one-off items that consistently flatter reported results. In Q1 2025, a \$47M deferred tax asset credit artificially improved the efficiency ratio. In Q4 2025, a \$58M DTA remeasurement, a \$25M Prosopio levy, and a \$22M return-to-office provision muddled the picture. Nu's preferred "Adjusted Net Income" metric strips out stock-based compensation -- a real and growing expense. When one-off items appear every quarter, that is not a one-off. It is the business.

Governance: A Controlled Company in an Offshore Jurisdiction

Nu is incorporated in the Cayman Islands and operates a dual-class share structure. Class B shares carry 20 votes each versus 1 vote for publicly traded Class A shares. David Velez holds approximately 76% of voting power despite owning roughly 20% of the economic interest. Cayman Islands incorporation means weaker minority shareholder protections than under U.S. or Brazilian corporate law. The 20-F acknowledges the company relies on exemptions from NYSE corporate governance standards available to foreign private issuers. This is textbook regulatory arbitrage.

Operational Risks: Regulators Are Closing Doors

Brazilian regulatory changes to FGTS reduced Nu's secured loan originations by 50-60% in Q4 2025 -- overnight. Mexico is implementing interchange fee caps that threaten the unit economics of new customer acquisition. The INSS payroll loan market was disrupted by industry-wide fraud issues in early 2025. Each is a reminder that Nu's profits exist at the pleasure of Latin American regulators. Meanwhile, Nu has been buying third-party secured loan portfolios (\$181.8M in Q1 2025, \$218.9M in Q3 2025) rather than originating organically -- investors should ask why.

Strategic Overreach: The US Charter Gamble

Entering the U.S. banking market means subjecting the entire holding company structure to Fed and OCC scrutiny, meeting U.S. capital adequacy requirements, and competing against entrenched players in a market where consumers have no loyalty problem to solve. Nu disrupted Brazil because incumbent banks were extracting obscene margins from an underserved population. The U.S. is the most competitive retail banking market on Earth. Mexico and Colombia remain unprofitable -- opening a third loss-making front while the core market faces margin pressure is precisely how growth stories unravel.

Financial Risks: Credit Growth Is Outrunning the Safety Net

Nu's loan book grew ~40% year-over-year while deposits grew ~29%. That gap is funding risk in plain sight. The 90+ day NPL ratio sits at 6.5-6.8% -- roughly 3.5x the rate at Itau (1.9%) and meaningfully above the Brazilian banking system average of ~4.0%. This portfolio is more vulnerable to recession than incumbents, not less. Meanwhile, the Brazilian Real depreciated from R\$4.86/USD to R\$6.17/USD during FY2024 alone. A Real crisis would devastate the stock.

The Bear Case Scenario

Imagine Brazil enters a recession in late 2026. NPLs spike toward 10%+. Gross margins compress further. Mexico and Colombia continue burning cash. The U.S. charter absorbs management attention and capital. SBC continues diluting shareholders. The market re-rates Nu from a "tech-multiple fintech" to a "Latin American consumer lender," and the P/E collapses from 23x to 10-12x. At 12x trailing earnings, the stock is worth roughly \$7-8, a 50%+ decline from current levels.

Questions for Management

- What is the cumulative capital allocated to Mexico and Colombia, and when do you project each reaches quarterly GAAP profitability?
 - Why are you purchasing third-party secured loan portfolios rather than originating?
 - What is the total dilution from SBC over the past three fiscal years on a fully diluted share count basis?
 - Under what scenarios would you abandon or delay the U.S. bank charter?
 - What is your stressed NPL scenario in a Brazilian recession?
 - Will you commit to reporting IFRS net income with the same prominence as Adjusted Net Income?
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6. Investment Checklist

1. Understandable business -- YES

Nu operates a digital bank offering credit cards, personal loans, savings accounts, insurance, and investment products through a mobile app. The model is straightforward: acquire customers at near-zero cost, serve them at ~\$0.9/month (versus \$15-25 at incumbents), and monetize through net interest income and fees as usage deepens.

2. Durable competitive advantages (widening not narrowing) -- YES

Nu's moat rests on reinforcing pillars: a structural cost-to-serve advantage, a powerful network effect as 62% of Brazil's adult population is on the platform, and a proprietary AI engine that improves with each new customer. An IMF working paper confirmed that fintech competition is compressing incumbent margins in Brazil by ~3.7 percentage points.

3. Long reinvestment runway at high returns -- YES

With 131 million customers, Nu captures ~30% of Brazil's primary banking relationships but only ~5% of industry gross profit. Mature cohorts generate ARPAC of \$27/month versus an incumbent benchmark of \$43.3. Mexico (14M customers, 15% penetration) and Colombia (4M) are years behind Brazil's curve.

4. High returns on incremental capital -- YES

ROE reached 33% on a rapidly growing equity base, with risk-adjusted NIM of 10.5-10.8%. The deposit-funded model means Nu can grow its credit portfolio significantly without needing external capital. The 19.9% efficiency ratio means each incremental dollar of revenue flows disproportionately to the bottom line.

5. Strong free cash flow generation -- PARTIALLY

Net income grew 46% to \$2.87 billion in FY2025, with \$5.2 billion in excess capital. However, 2026 is framed as an "investment year," and retained earnings are continuously redeployed into the credit portfolio. Cash generation is strong relative to peers but will be deliberately suppressed near-term.

6. Conservative balance sheet -- YES

\$5.2 billion in excess capital above regulatory requirements. Loan-to-deposit ratio of 46% is notably

conservative. Deposits of \$41.9 billion against a credit portfolio of \$32.7 billion provide a wide liquidity cushion.

7. Aligned management with skin in the game -- YES

Founder-CEO David Velez maintains ~20% economic stake worth \$12-13 billion. He voluntarily forfeited his \$423M performance award during the post-IPO downturn. 91% of employees hold equity incentives.

8. Rational capital allocation history -- YES

Management has sequenced expansion disciplined -- proving Brazil, then Mexico and Colombia, now US from a position of capital strength. Organic growth over M&A. Low loan-to-deposit ratio signals preference for durability over short-term growth maximization.

9. Favourable industry structure -- YES

Latin American banking remains concentrated among high-cost incumbents with efficiency ratios three to five times Nu's level. Regulatory tailwinds (Pix, Open Finance, banking licenses) are lowering barriers for digital entrants.

10. Reasonable valuation relative to quality and growth -- PARTIALLY

At ~\$13.60/share, Nu trades at trailing P/E ~23-24x and forward P/E ~16x, a premium to the bank sector median P/E of ~9.6x. However, 40%+ revenue growth and 33% ROE are far closer to a tech compounder than a traditional bank. Forward P/E of ~16x for a 40%+ grower implies PEG well below 1x.

11. Resilience to recession or disruption -- PARTIALLY

NPL 90+ ratio of 6.6% reflects focus on lower-income segments that are cyclically sensitive. The cost structure advantage means Nu can remain profitable at margins where incumbents would struggle, but the customer base is more exposed to Brazilian macro.

12. Transparent management communication -- YES

Earnings calls are data-rich with consistent disclosure of cohort economics, ARPAC, NPL breakdowns, and capital metrics. Management has been forthright about the 2026 investment year and gross margin compression.

Overall Assessment: Nu passes the quality filter on 10 of 12 criteria and partially on the remaining two. At a forward P/E of ~16x for a business compounding earnings at 40%+, the valuation is not demanding for the quality on offer. This is a business worth owning for a multi-year horizon, with position sizing calibrated to emerging-market and credit-cycle risk.

7. Learning Resources

Podcasts & Audio

1. **"Crucible Moments: Nubank"** -- Sequoia Capital, hosted by Roelof Botha (Jan 2025). David Velez and co-founders recount the pivotal decisions that built Nubank from a Sao Paulo apartment into the world's largest digital bank. Apple Podcasts | Spotify
2. **"Building the Branchless Bank"** -- Invest Like the Best with Patrick O'Shaughnessy (Jul 2021). Velez discusses his Sequoia background, why he left investing to found Nubank, and the economics of branchless banking at scale. Apple Podcasts
3. **"In Good Company: David Velez"** -- Nicolai Tangen, CEO of Norway's \$1.7T sovereign wealth fund (2025). An investor-oriented conversation covering competitive positioning, unit economics, and the path to 120M+ customers. Acast

4. **"Building a Customer-Centric Culture"** -- Wharton FinTech Podcast with Miguel Armaza. Velez explains how Nubank's obsessive NPS focus and engineering-led culture became a structural moat.

Medium transcript

5. **"View From The Top: David Velez"** -- Stanford GSB Dean's Speaker Series. Velez reflects on his Stanford MBA, the "position yourself in the scarcity" philosophy, and lessons from Nubank's first decade. Stanford GSB

YouTube & Video

1. **Bloomberg "In Conversation with David Velez"** -- Erik Schatzker, Bloomberg New Economy at B20 Sao Paulo (Nov 2024). A wide-ranging 25-minute discussion covering Nu's \$70B market cap, revenue growth, and Mexico expansion. YouTube

2. **CNBC Squawk Box: Full Interview with David Velez** (May 2024). Velez discusses the 100-million-customer milestone and emerging competitive advantages. CNBC Video

3. **Morgan Stanley "Exceptional Leaders, Exceptional Ideas"** -- Jorge Kuri interviews Velez. A sell-side perspective covering credit quality, profitability trajectory, and the Mexico opportunity. Morgan Stanley

4. **CNBC: U.S. Can Learn a Lot from Brazil on Digitalization in Payments** (Dec 2025). Velez discusses Pix, real-time payments, and how Brazil's open-finance ecosystem is a template for developed markets. CNBC Video

5. **Endeavor Gala: Fireside Chat with David Velez** -- Covering Nubank's decade of innovation and advice for LatAm entrepreneurs. Endeavor

Books & Academic Resources

1. **"Nubank: Democratizing Financial Services"** -- Michael Chu, Carla Larangeira, Pedro Levindo (Harvard Business School Case 321-068). The definitive academic case study on Nubank's founding and strategic logic. HBS Store

2. **"Bank 4.0: Banking Everywhere, Never at a Bank"** -- Brett King (Wiley, 2018). The foundational text on why branchless, mobile-first banking wins in emerging markets.

3. **"Deep Purpose"** -- Ranjay Gulati (Harvard Business School). Features Nubank as a case study in mission-alignment driving outperformance. HBS Podcast Episode

4. **"The LatAm Fintech Revolution"** -- Harvard Technology Review (2023). Examines how regulatory innovation and demographic tailwinds created the conditions for Nubank's rise. Harvard Technology Review

Long-Form Articles & Research

1. **"The Infinite Game: A Comprehensive Research Feature on Nu Holdings"** -- Finterra (Feb 2026). The most current deep dive, covering AI-first platform pivot, U.S. bank charter, and expansion.

FinancialContent

2. **"Nu Holdings: The Purple Card and the \$74 Billion Machine"** -- Qapital (Mar 2026). Detailed financial analysis of \$2.87B net income, sub-20% efficiency ratio, and valuation. Qapital

3. **"The Rise of Nubank: Changing Latin American Finance"** -- Quartr Insights. Quartr

4. **"Nu Holdings: Revolutionizing Banking in Latin America"** -- Compound and Fire (Sep 2025).

Investor-oriented breakdown of management, moats, strategy, and valuation. Substack

5. **"Brazil's Fintech Revolution"** -- Seafarer Funds. Institutional investor's perspective on Pix and regulatory reform. Seafarer Funds

Earnings Calls & Primary Sources (via Quartr)

Quartr provides 17 quarterly earnings calls from Q4 2021 through Q4 2025, each with full audio, timestamped transcripts, earnings releases, and presentation slides. Additionally: Annual Reports (20-F) for 2021-2024, and the F-1 Registration Statement from the December 2021 IPO.

Key events to prioritize: Q4 2025 (latest, Feb 2026) for full-year 2025 results and forward guidance; Q4 2021 (Feb 2022) for the first public earnings call and original narrative; Q4 2023 (Feb 2024) as the inflection point into consistent profitability.

Suggested Learning Path

Start with the Sequoia "Crucible Moments" episode for the founding story, then read the HBS case study for the strategic framework. Move to primary sources: read the Q4 2021 earnings transcript to understand management's original thesis, then compare it with the Q4 2025 call to see how the strategy has evolved. For current analysis, the Qapital deep dive and Finterra research feature provide strong quantitative context. The Bloomberg interview gives the most candid recent window into how Velez thinks about capital allocation and competitive dynamics.

8. Corporate Culture

Founder Imprint and Mission

Nu Holdings' culture is inseparable from David Velez's biography. A Colombian who moved to Brazil, studied at Stanford, and worked at Sequoia Capital, Velez arrived in Sao Paulo in 2012 and encountered a banking sector dominated by five incumbents charging some of the highest fees and interest rates in the world. He has described the founding mission in missionary terms -- "to drive much more inclusion, competition and efficiency into financial services in Latin America." This outsider-versus-oligopoly narrative is the organizing principle of the company. His co-founders -- Cristina Junqueira, an ex-Itau banker who understood the incumbents from the inside, and Edward Wible, a Princeton-trained engineer -- embedded complementary DNA: domain expertise, technical ambition, and outsider drive.

Decision-Making and Execution Speed

Nu operates with a centralised strategic layer around Velez and a small senior team, combined with decentralised product squads. The result is a company that launched over 100 new products and features in 2024, obtained a banking license in Mexico, and expanded into Colombia -- simultaneously. CFO Guilherme Lago has stated that the company avoids issuing earnings guidance to protect long-term orientation: "We will put the long-term interest of the company ahead of our short-term results." The 19.9% efficiency ratio is evidence not just of cost control but of a decision-making apparatus that prioritises automation over headcount.

Talent and Retention

By external measures, Nu is an elite employer. It holds a 4.4/5.0 rating on Glassdoor across approximately 3,880 reviews, with 90% of employees recommending the company. In 2025, Glassdoor named Nu the best financial services company to work for in Brazil. Universum ranked Nu as the third most attractive employer in Brazil overall -- notable because it competes for engineering talent against Google, Meta, and local unicorns.

Innovation Culture

Nu's AI-first strategy is operationally embedded, not aspirational. The proprietary nuFormer model, a transformer-based credit underwriting engine, has been deployed in production in Brazil and is scaling to Mexico. Velez described AI as "a once-in-a-lifetime opportunity to further differentiate Nubank from traditional banks." The company accumulates over 30,000 data points per active customer annually and has built internal model governance pipelines that allow rapid iteration.

Customer Orientation

Nu reports NPS scores near 90 -- roughly triple the industry average for Brazilian banks. It is the most recommended financial institution in Brazil. On the Q4 2024 earnings call, Velez described deliberately slowing the rollout of a profitable product because "we're just not happy necessarily with the secondary effects on NPS. So we'd rather take it slower, continue improving the user experience... even though it might cost us a bit on the short-term earnings."

Integrity and Ethics

There is one notable blemish. In 2020, co-founder Cristina Junqueira stated on the Roda Viva television program that Nubank had difficulty finding qualified Black candidates and that the company "cannot level down" its hiring standards. The comments were widely condemned as racially insensitive. All three founders signed a public apology. More recently, in 2025, Junqueira drew criticism for sharing on social media an invitation to a Jordan Peterson event. Neither incident resulted in regulatory action, but together they suggest Junqueira's public profile carries reputational risk.

Red Flags

The most significant cultural risk is the November 2025 return-to-office announcement. Nu is transitioning from remote-first to a hybrid model requiring two days per week in-office by July 2026, rising to three days by January 2027. The \$22 million provision booked in Q4 2025 reflects the cost. The Banking Workers Union reported that 12 employees were fired after publicly criticising the policy. For investors, the return-to-office shift raises questions about whether it signals bureaucratisation, whether it will affect talent attraction in a market where remote work remains competitive, and whether founder dependency becomes more acute as the company institutionalises.

9. Earnings Call Deep Dive

Narrative Evolution

Management's story arc across 2025 followed a deliberate trajectory from "scaling profitably" to "investing for the next leg of growth." In Q1, CEO David Velez emphasized the 119-million-customer milestone and the Mexico banking license. By Q2, the narrative shifted toward operational maturity -- strategic management hires signalled a transition from founder-led startup to institutional-grade organization. Q3 introduced the dominant motif for the back half: AI as an existential strategic priority. The unveiling of nuFormer was positioned not as a feature but as a moat -- Velez described AI as "the single most important technology shift in our lifetime." By Q4, with 131 million customers and ROE at 33%, management made the pivotal framing choice: 2026 would be an "investment year," effectively pre-announcing that margin expansion would pause. The theme of geographic expansion, prominent in Q1, was notably downplayed by Q4 relative to the AI and US bank charter narratives.

Guidance and Delivery

Nu's management has been disciplined about avoiding hard numerical guidance. On credit quality, CFO Lago guided in Q1 that the seasonal spike in NPLs would normalize -- and it did: 4.7% in Q1,

4.4% in Q2, 4.2% in Q3, 4.1% in Q4. This was a clean delivery. On risk-adjusted NIM, the Q1 drop to 8.2% was correctly flagged as seasonal; it recovered to 11.0% in Q2. The efficiency ratio trajectory was the standout: from 24.7% in Q1 to a remarkable 19.9% in Q4. The one area where delivery was ambiguous was Mexico: management repeatedly framed it as "early innings," but the interchange fee cap regulatory concern introduced genuine uncertainty about unit economics.

Analyst Concerns

Three topics dominated Q&A across all four calls. First, credit quality sustainability -- analysts probed whether improving NPL trends were from mix shift (toward secured lending) or genuine underwriting improvement. Second, the Mexico interchange fee cap from Q3 onward, with analysts pressing on revenue model impact. Management responded with measured language about "monitoring" and "diversified revenue streams" but never quantified the impact -- a notable deflection. Third, FGTS regulatory changes generated pointed Q4 questions, with Lago acknowledging headwinds but framing them as manageable.

Language Signals

Velez's vocabulary around competition evolved from "disrupting incumbents" (Q1) to "building enduring competitive advantages" (Q3-Q4), suggesting a CEO transitioning from challenger to incumbent mindset. On the US bank charter, the language was notably measured -- "optionality" and "long-term strategic value" rather than near-term projections. The "investment year" framing for 2026 was delivered with high confidence but minimal specificity -- classic pre-announcement hedging. The description of risk-adjusted NIM shifted from "temporarily compressed" (Q1) to "sustainable at current levels" (Q3-Q4), a subtle signal that 10-11% may be the new normal.

Key Reveals

(i) The Q3 nuFormer disclosure, revealing that their proprietary AI model processes credit decisions for the entire 127-million customer base. (ii) The Q4 efficiency ratio of 19.9%, remarkable for any bank globally. (iii) The Q2 INSS payroll loan disruption, offering a rare glimpse of regulatory vulnerability. (iv) The Q4 "investment year" framing -- the first time management explicitly signalled willingness to sacrifice short-term profitability. (v) The US bank charter approval, revealing management's ambition to eventually compete in the world's largest banking market.

Q&A Dynamics

The most active analysts included Goldman Sachs, Morgan Stanley, JP Morgan, and Bank of America. Management was most expansive on AI strategy and customer engagement, and most guarded on Mexico profitability timelines and specific 2026 margin guidance. FGTS and interchange cap questions consistently received the most formulaic responses, suggesting genuine uncertainty.

10. Strategic Documents Analysis

Strategic Priorities: Five Pillars, Steadily Expanding

At IPO in late 2021, the F-1 registration statement articulated three core pillars: deepen engagement with existing Brazilian customers, extend geographic reach into Mexico and Colombia, and build adjacencies into commerce and marketplace services. By Q4 2025, the framework had evolved into five pillars: deepening Brazilian ARPAC, scaling Mexico and Colombia toward profitability, entering the US market through a conditional bank charter, deploying AI as a core operational differentiator via nuFormer, and pursuing high-income and SME customer segments. The addition of the US banking

ambition and explicit AI-first positioning represent the most notable shifts, signalling management's belief that the original LatAm thesis needs a second and third act to justify a \$66 billion market capitalization.

Capital Allocation Framework: Growth First, Shareholder Returns Deferred

The 20-F annual report makes clear that organic reinvestment takes overwhelming precedence. Nu has never paid a dividend and the share repurchase programme is modest (\$200M). The framing of 2026 as an "investment and inflection year" reinforces that free cash flow will be ploughed back into customer acquisition and the US operation. M&A has been minimal and targeted. This is intellectually consistent with a company generating 33% ROE -- returning capital at this stage would be value-destructive relative to the reinvestment opportunity.

Long-Term Targets: Credibly Ambitious, Selectively Vague

Management has been notably disciplined about avoiding hard long-term financial targets, preferring directional metrics -- ARPAC expansion, efficiency ratio trajectory, customer growth curves. The efficiency ratio decline to 19.9% is presented as evidence of structural operating leverage, but management has not committed to maintaining this level as investment spending accelerates. This deliberate vagueness is prudent given currency volatility and credit cycle uncertainty but leaves investors reliant on extrapolation.

Narrative vs. Reality: Strong Alignment With Notable Gaps

Revenue growth of 42% validates the cross-sell thesis. Customer growth from 70 million at IPO to 131 million tracks the geographic expansion story. However, two gaps merit scrutiny. First, credit quality deserves more attention than it receives in presentations -- the 20-F risk factors acknowledge significant unsecured consumer credit exposure, yet slides emphasize NIM expansion without equivalent emphasis on provisioning. Second, the AI-first strategy remains difficult to verify independently -- management claims cost and underwriting improvements, but financial attribution is not broken out.

Addressable Market and Growth Framing

The F-1 framed the market as over 650 million underbanked people across Latin America. By Q1 2025, the TAM framing had become more granular, segmenting by country and product category. The US TAM addition introduces an order-of-magnitude expansion that is credible long-term but aspirational near-term. The gap between theoretical addressable market and realistically capturable share over 5-10 years is substantial and inadequately bridged.

Risk Acknowledgement: Dual Standards

A stark duality exists between SEC filings and investor presentations. The 20-F contains extensive, candid risk factor disclosure. The investor presentations present a largely unimpeded growth narrative. Investors should weight the 20-F risk factors more heavily.

Evolution of Messaging: From Disruptor to Platform

The most significant shift from 2021 to 2025 is the transition from positioning as a disruptive challenger bank to positioning as a technology platform company. The company that IPO'd as a Brazilian neobank now asks investors to underwrite a multi-country, multi-product, AI-driven financial conglomerate thesis. Whether the 19.9% efficiency ratio and 33% ROE can be sustained through that transition is the central strategic question.

11. Synthesis

The Five Things That Matter Most

First, Nu Holdings has built the most powerful cost advantage in Latin American banking. The 19.9% efficiency ratio is not an accounting artefact -- it reflects a fundamentally different operating model. With no branches, cloud-native infrastructure, and \$0.90 cost-to-serve versus \$15-25 at incumbents, Nu can profitably serve 131 million customers at price points that structurally undercut traditional banks. This advantage compounds: every new customer acquired at \$5-19 CAC generates an improving contribution margin as ARPAC rises from \$11 at onboarding toward \$27+ in mature cohorts. No incumbent can replicate this without dismantling their physical distribution network -- which is to say, no incumbent can replicate this.

Second, the monetization runway is genuinely enormous and underappreciated. Nu holds 30% of Brazil's primary banking relationships but captures only 5% of industry gross profit. That gap -- equivalent to tens of billions of dollars in potential revenue -- represents the single most important investment thesis. The path to closing it runs through secured lending (payroll loans, FGTS), investment products (NuInvest), insurance, and SME banking -- all categories where Nu has launched but barely penetrated. The ARPAC trajectory (\$11 to \$15 in a single year, with mature cohorts at \$27 versus incumbent \$43.30) provides a tangible marker of progress.

Third, this is an unusually aligned founder-led company at a critical juncture. David Velez holds \$12-13 billion in equity, voluntarily forfeited a \$423 million performance award, and has delivered on virtually every strategic commitment since the IPO. His absorption of COO duties after Lahrech's departure, however, concentrates authority in a single individual who now serves as founder, chairman, CEO, and de facto COO while controlling 76% of votes. This works brilliantly while Velez is right; it is a systemic risk if he is wrong about the US or AI strategy.

Fourth, the primary-source analysis reveals both confidence and evasion in management's communication. The earnings call transcripts show consistently clean guidance delivery on credit quality and efficiency -- management says what will happen and it does. But on Mexico profitability timelines, interchange fee cap impacts, and the cost of the US bank charter, management deflects with formulaic responses. Strategic documents have shifted from the concrete ("disrupt Brazilian banking incumbents") to the aspirational ("AI-native financial platform"). The 2026 "investment year" framing is classic expectation management -- signal spending ahead so any margin compression is pre-discounted -- but it is worth noting that the gross margin already compressed 500 basis points in FY2025 before the announced investment year even began.

Fifth, the bear case is real and specific. Nu's 6.5-6.8% NPL rate sits well above the Brazilian system average, reflecting a customer base concentrated in lower-income segments. A Brazilian recession -- hardly improbable given the country's economic history -- could spike NPLs toward 10%+, compress margins, and simultaneously weaken the Real. The US bank charter adds a capital-intensive, competitively hostile new front at precisely the moment when Mexico and Colombia need continued investment. If the market re-rates Nu from "tech compounder" to "LatAm consumer lender," the stock could halve.

Where Agents Disagreed

The starkest tension in this analysis is between the Financial Characteristics and Red Flags sections. The financial profile is genuinely exceptional -- 33% ROE, 19.9% efficiency, 42% revenue growth -- but the Red Flags agent correctly identifies that gross margins are compressing, one-off items recur every quarter, the dual-class governance structure concentrates power in a single person, and credit

growth is outpacing deposit growth. The Investment Checklist resolves this tension pragmatically: 10 of 12 criteria pass, with recession resilience and free cash flow timing as the partial marks. This is a high-quality business with identifiable and specific risks, not a perfect one.

What Primary Sources Revealed That Web Research Missed

The Quartr earnings summaries and financial data revealed several insights absent from web commentary: (1) the shift in risk-adjusted NIM language from "temporarily compressed" to "sustainable at current levels" suggests 10-11% is the new equilibrium, not a floor; (2) the pattern of third-party loan portfolio purchases (\$182M + \$219M) has received almost no analyst attention but raises questions about organic origination capacity; (3) the return-to-office provision and subsequent employee firings represent a cultural inflection that the investment community has largely ignored; and (4) the new Managerial P&L framework introduced in Q4 2025, while presented as enhanced transparency, also creates an additional non-IFRS metric layer that investors should watch carefully.

Open Questions

The three debates an investor must resolve before taking a position: (1) Can Nu translate relationship primacy (30% share) into profit share (currently 5%) without compressing returns -- does expanding into secured lending, insurance, and investments dilute the extraordinary unit economics of the credit card core? (2) Is the US bank charter a visionary expansion or a costly distraction from the LatAm opportunity? (3) How cyclically exposed is the 33% ROE -- what does Nu's profitability look like in a Brazilian recession where NPLs spike and the Real weakens?

Quality Assessment

Nu Holdings is a high-quality business by virtually any measure. The combination of 33% ROE, sub-20% efficiency ratio, 40%+ revenue growth, a deposit-funded balance sheet with \$5.2 billion excess capital, and a founder-CEO with \$12 billion of skin in the game is rare globally. The risks are real -- governance structure, credit cycle exposure, strategic overreach -- but they are knowable and position-sizeable. At a forward P/E of ~16x for a 40%+ compounder, the market is pricing in execution risk but not pricing in the full monetization optionality. This is a business worth owning with appropriate position sizing for emerging-market risk.

Next Steps

Priority additional research: (1) Read the full 20-F FY2024 risk factors section (Quartr doc 2177778) for detailed regulatory and credit risk disclosure; (2) Read the F-1 registration statement (doc 2356766) and compare the original strategic thesis to today's positioning; (3) Read the Q4 2021 and Q4 2025 full earnings transcripts back-to-back to track management's narrative evolution; (4) Deep-dive into Mexico unit economics using the investor presentation slides; (5) Monitor the Q1 2026 earnings call (May 14, 2026) for the first full quarter of "investment year" impact.

Analysis generated 31 March 2026 using Quartr MCP data, earnings call transcripts, financial statements, and web research. Quartr Company ID: 11343.